it tough to monitor external managers. Many institutions face "fiefdom risk" as illiquid assets are run as separate empires within an organization, detrimentally affecting how the aggregate portfolio is allocated.

In addition, investors in illiquid markets face high idiosyncratic risk because there is no "market" portfolio. It is exactly this large idiosyncratic risk, however, that is the most compelling reason for investing in illiquid assets.

Suppose you are a skilled investor (assume you have true alpha; see chapter 10) and have a choice between investing in (i) a market where prices quickly reflect new information, almost everyone sees the same information, and news gets spread around very quickly, or (ii) a market where information is hard to analyze and even harder to procure, only a select few have good information, and news takes a long time to reach everyone. Obviously you pick (ii). This, in a nutshell, is the Swensen (2009) justification for choosing illiquid assets. The argument is not that illiquid asset classes have higher risk-adjusted returns. Empirical evidence suggests they don't.

Investing in illiquid assets allows an investor to transfer idiosyncratic risk from liquid equity and bond markets, which are largely efficient, to markets where there are large information asymmetries, transactions costs are punishing, and the cross-sections of alpha opportunities are extremely disperse. These are the markets, in other words, where you can make a killing!

The Swensen case crucially relies on one word: "skilled." Whereas skilled investors can find, evaluate, and monitor these illiquid investment opportunities, assuming they have the resources to take advantage of them, unskilled investors get taken to the cleaners. If you are unskilled, you lose. Harvard, Yale, Stanford, MIT, and a few other select endowments have the ability to select superior managers in illiquid markets because of their size, their relationships, and their commitment to support these managers through long investment cycles. What about the others? An endowment specialist says, "It's a horror show. [Performance has] been flat to even negative. The strong get stronger and the weak get stuck with non-top quartile managers and mediocre returns and high fees."[44]

6.2. INVESTMENT ADVICE FOR ENDOWMENTS

Thomas Gilbert and Christopher Hrdlicka at the University of Washington are probably the world's only endowment management theorists. In a 2012 paper, they provocatively argue that the optimal allocation policy for successful universities is to hold large amounts of fixed income, not risky assets, and by extension not illiquid risky assets.

Gilbert and Hrdlicka model universities as creators of "social dividends," which are research and teaching. Universities can invest internally, in research and

[44] Quoted by Stewart, J. B., "A Hard Landing for University Endowments," *New York Times*, Oct. 12, 2012.